

Axion — Renewable Energy Tax Research

Trigger 9 | APC 2026 September Qualifying Exam | Document 7 only — pages 18, 19 and 20

Scope. This document covers **Document 7 and nothing else**. Every provision in it is here because something on page 18, 19 or 20 puts it there. Tax points arising from the other pre-release documents are deliberately excluded.

Organised by investment option. Document 7 page 20 puts four options to the board. Each has its own part, **complete on its own**, so that a task naming one option is answered from one part. Legislation is repeated where it applies to more than one.

Left column, black — the legislation. **Right column** — **applied to Axion, in blue**. **Each section is followed by its own worked example**, so the law, the application and the numbers for one provision sit together.

The trigger is income tax. The CFO asks for the **income tax considerations** and links to a SARS **income tax** guide. Other taxes get one short table at the end of each part.

[WAITING FOR INPUT] marks a fact the pre-release does not give. The law is still applied on an assumed figure, so on the day you substitute one number.

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Rate card — verified rates for 2026/27

Item	Rate	Note
Corporate income tax	27%	Unchanged in the February 2026 Budget
CGT — company	80% inclusion	Effective 21.6%
VAT	15%	Standard rate
Dividends tax	20%	Only if a project company distributes
s12B — renewable plant	50 / 30 / 20	Not apportioned
s12B — PV solar not exceeding 1MW	100%	Year one
s12BA	125%	EXPIRED — brought into use before 1 March 2025
s12U — roads and fences	100%	Year incurred. Generation must exceed 5MW
s12L — energy efficiency	95c per kWh	Extended to 31 December 2030
s13quin — commercial buildings	5%	New and unused
s20 — assessed loss set-off	Higher of R1m or 80%	Of taxable income

What Document 7 actually says

Page 20, "Renewable electricity for future growth — options under consideration". These are the words of the pre-release.

Option	Document 7	The tax question
Part 1 Additional power purchase agreements	- Purchase renewable electricity from an independent producer. - May require limited upfront capital. - Price, volume and supply terms agreed contractually.	No asset. Does any allowance arise, and if not what deduction replaces it?
Part 2 Direct investment in generation capacity	- Invest in a renewable project, potentially with an experienced technical partner. - Requires upfront capital and an appropriate funding structure. - Axion participates in the risks and returns.	An asset. Which allowance, at what rate, in whose hands, and in which year?
Part 3 Off-site generation and wheeling	Land and network constraints may limit generation on site. - Generated elsewhere, supplied through the network, allocated at an agreed metering point. Network and wheeling charges, transmission losses, curtailment, electricity generated but not used.	A delivery mechanism, not an ownership structure. Follows Part 1 or Part 2 — plus its own deductible costs.
Part 4 Long-term offtake agreements	Pricing and escalation terms may apply for many years. Purchase commitments may begin before the new facility is fully utilised. - Contracted revenues may support project debt.	When is a multi-year commitment actually incurred , and is electricity paid for but never used deductible?

- Page 20 joins Parts 1 and 2 with "**OR**" — they are alternatives. Parts 3 and 4 can apply with either.
- Page 19 adds the rest of the scope: **on-site solar generation, diesel backup generators, UPS and battery infrastructure**, electricity as **one of Axion's most significant operating costs, supporting transmission and distribution infrastructure**, and an **AI-enabled maintenance pilot** at Johannesburg 1. These drive Part 2.2, Part 5 and the carbon tax note.

The SARS guide the CFO links to

Reference	Publication	What it gives you
IT39	Guide on the Allowances and Deductions Relating to Assets Used in the Generation of Electricity from Specified Sources of Renewable Energy — 23 November 2024	The guide named in Document 7 page 18. Covers s12B(1)(h) and (i), s12BA and s12U: qualifying criteria, ownership and accession, first use, the trade test, foundations, improvements, prohibitions, and the interaction with s11(e), s11(o), s8(4)(a) and s8(4)(nA). Part 2 follows it.
IN 119	Improvements to Land or Buildings not Owned by a Taxpayer (s12N)	Needed when the plant stands on land Axion does not own — Parts 2.6 and 3.
IN 47 / IN 60 / IN 74	Wear and tear (s11(e)); loss on disposal (s11(o)); repairs	The write-off periods, the scrapping allowance, and the repair-versus-improvement line.
IN 107 / IN 95	Commercial buildings (s13quin); energy efficiency savings (s12L)	“Mainly” means more than 50%; and the 95c per kWh mechanics for Part 5.

- IT39 states it is not an “official publication” under s1 of the Tax Administration Act, creates **no practice generally prevailing**, and is not a binding general ruling. Cite the section; use the guide for the detail.

Assumed facts used in the worked examples

Every number is invented — Document 7 gives no capacity, cost, price or structure. The same facts run through all four parts so the options compare.

- **Requirement.** 80 GWh a year, currently bought from the grid at R1.30/kWh = **R104m a year**.
- **The project.** Solar PV **30MW**. Plant **R450m**. Roads and perimeter fencing **R25m**. Grid connection **R60m**. Land **R15m**. Brought into use **1 May 2027** (FY2027, year ending 30 June).
- **PPA price.** R1.10/kWh = **R88m a year**. **Wheeling.** Charges **R12m a year**, transmission losses **5%**.
- **Tax position.** Taxable income before any of this **R350m**; rate **27%**; tax with no project **R94.5m**.
- **Existing on-site solar.** Rooftop PV at Johannesburg 1, **800kW**, cost **R18m**, brought into use **1 October 2024**.

Part 1 — Additional power purchase agreements

Document 7, page 20. “Purchase renewable electricity from an independent producer. May require limited upfront capital. Price, volume and supply terms are agreed contractually.”

In one line. Axion buys electricity and acquires **no asset**, so **no capital allowance of any kind arises**. The only deduction is the cost of the electricity under s11(a), as incurred, for as long as the contract runs.

1.1 No capital allowance, and the deduction that replaces it

Legislation	Application to Axion
• s12B(1)(h) requires the plant to be owned by the taxpayer (or held under an instalment credit agreement), brought into use for the first time by that taxpayer, for that taxpayer's trade, and used by that taxpayer in generating electricity from a specified source. • s12U requires the taxpayer's own trade to be the generation of electricity exceeding 5MW. • s11(e) requires the asset to be owned by the taxpayer. • A purchaser of output owns nothing and brings nothing into use. • s11(a). Deduction for expenditure actually incurred in the production of income, not of a capital nature, read with s23(g). “Actually incurred” means an unconditional legal obligation has arisen — payment is not required.	• Every allowance fails on the same first test: ownership. The producer owns the plant, brings it into use and generates. s12B, s12BA, s12U and s11(e) are all unavailable to Axion. Write that sentence down — it is a mark, and moving silently to s11(a) is not. • The producer gets the allowances. Its tax benefit should be reflected in the price Axion is quoted. Ask whether it is. • s11(a) gives a full deduction for the electricity, which is consumed in running the data centres and so is incurred in producing Axion's income. It is an operating cost, not capital. • The deduction is level, not front-loaded — roughly the same every year for the contract life. Against ownership, that is the single most important structural difference. • No timing risk around 30 June, unlike s12B. Monthly charges accrue evenly. • [WAITING FOR INPUT]: whether Axion contributes any capital, prepayment or funding to the producer. If it does, re-test against Part 2 — the label “PPA” does not decide the treatment; the substance of ownership does.

Example — the PPA deduction

Substitute the real volume and price on the day. Nothing else in the computation changes.

Step	Input (assumed)	FY2027 tax effect
Volume purchased	80 000 000 kWh	
PPA price	R1.10 per kWh	
Cost incurred	R88.0m	
Capital allowance	Nil — no asset owned	Nil
Deduction under s11(a)	R88.0m	R23.76m at 27%
Taxable income R350m – R88m	R262.0m	Tax R70.74m
Cash tax saved (against R94.5m)		R23.76m, and the same every year

- **The sentence for the board.** A PPA converts a capital decision into an operating cost. The tax benefit is smaller early, **level rather than front-loaded**, and it continues for as long as Axion buys the electricity — **R71.28m over three years against R128.25m under Part 2**, but it never stops and it costs no capital.

1.2 Other taxes — in brief

Tax	The rule	Axion
VAT	Electricity is standard-rated at 15% ; input tax claimable where acquired for making taxable supplies.	Claimed in full — cash-flow neutral, not a cost . [WAITING FOR INPUT]: is the producer a registered vendor? If not, the PPA is effectively 15% dearer.
Carbon tax	Falls on Scope 1 only, not on purchased electricity. [NOT VERIFIED — threshold and rate.]	No saving. A PPA cuts Scope 2. Axion's exposure is the diesel generators (page 19), which page 20 says renewable generation does not replace. Never put a carbon tax saving in the NPV.
IFRS 16 / IAS 12	A supply contract contains a lease if it	The one accounting point here. If the PPA identifies a

Tax	The rule	Axion
	conveys the right to control the use of an identified asset .	specific plant, a right-of-use asset arises with no tax base — creating deferred tax and gearing. Otherwise deferred tax is negligible. [WAITING FOR INPUT]: does the PPA identify a plant, and who directs its use?

Ask for on the day

- **Volume and price** (kWh a year, rand per kWh) and the **escalation basis**.
- **Contract term**, and any **minimum take or take-or-pay** commitment → then go to Part 4.
- Whether the producer is a **registered VAT vendor**.
- Whether the PPA **identifies a specific plant**, and **whether Axion contributes capital**.

Part 2 — Direct investment in generation capacity

Document 7, page 20. “Invest in a renewable energy project, potentially with an experienced technical partner. Requires upfront capital and an appropriate funding structure. Axion participates in the risks and returns of the project.”

In one line. Axion acquires an asset, so the allowances open up — **but only if Axion itself owns the plant and brings it into use.** The words “potentially with an experienced technical partner” are the whole difficulty: the same spend can produce a full allowance, half of one, or none at all in Axion’s hands.

This part follows SARS Guide IT39 throughout.

2.1 Section 12B — the generation plant

Legislation	Application to Axion
• s12B(1)(h). A deduction on the cost of an asset if all four requirements are met: it is machinery, plant, an implement, a utensil or an article; it is owned by the taxpayer (or held under an instalment credit agreement); it is brought into use for the first time by that taxpayer for that taxpayer’s trade; and it is used by that taxpayer in generating electricity from a specified source. • Sources: wind; photovoltaic solar; concentrated solar; hydropower not exceeding 30MW; biomass. • Rate — 50 / 30 / 20. 100% in year one for PV solar not exceeding 1MW. No apportionment — the last day of the year still gives the full percentage. • The trade test is wide (IT39 2.5): no restriction on the type of trade. The guide’s example is a glass producer using solar to power manufacturing. The electricity may be used by the owner or sold to others. • Mixed sources disqualify the asset entirely (IT39 2.1.4). The section says “used in the generation of electricity from” the listed sources — there is no “to the extent”. • “Brought into use for the first time” is factual — the first use consistent with intended future use. Installation and testing do not count. The onus is on the taxpayer. • The asset need not be new and unused — second-hand qualifies. • s12B(4) denies the deduction for, among others, an asset let otherwise than under an operating lease (s23A(1)) unless the lessee derives income and the lease runs 5 years or its useful life; an asset disposed of in a previous year; and an asset on which s6C or s12BA was allowed. • s12B(5) caps total deductions at cost.	• Take the trade point first — it removes the objection a weak answer raises. Axion’s trade is data centres, not energy. That does not matter for s12B. Axion generating to power its own facilities is on all fours with IT39’s glass producer. • [WAITING FOR INPUT]: capacity in MW, technology, plant cost, ownership structure, date brought into use. • On the assumed facts. 30MW of PV is above 1MW → 50/30/20, not 100%. Plant of R450m qualifies; land never does; the connection is tested in 2.5. • FY2027 R450m × 50% = R225.0m · tax R60.75m FY2028 R135.0m · R36.45m FY2029 R90.0m · R24.30m • The mixed-source trap, live for a data centre. Page 19 shows Axion runs diesel backup generators alongside everything else. If one generating installation draws on both the renewable source and diesel, IT39 says it does not qualify at all — no apportionment. Keep the renewable system separate from the diesel resilience system, and say so. • The commissioning date, quantified — make this recommendation. 1 May 2027 gives the full R225m in FY2027; 1 July 2027 moves the whole R225m to FY2028 and defers R60.75m of cash tax by a year. Page 19 says new connections “may require substantial lead times”, so the risk is real. • And note what first use excludes. Commissioning tests are not first use. Advise that the evidence file — electrical certificate of compliance, metering reports, contracts — be built as the plant is commissioned.

Example — section 12B on the generation plant

Plant of R450m, 30MW PV, into use 1 May 2027	FY2027	FY2028	FY2029
Rate under s12B(2)	50%	30%	20%
Deduction	R225.0m	R135.0m	R90.0m
Tax benefit at 27%	R60.75m	R36.45m	R24.30m
Three-year total	R450.0m of deductions · R121.5m of tax		

The timing point, quantified	Into use 1 May 2027	Into use 1 July 2027
Falls in	FY2027	FY2028
First-year deduction	R225.0m	Nil in FY2027
Cash tax effect	R60.75m saved now	R60.75m deferred a full year

- **No apportionment**, so the whole first-year allowance turns on one date. If PV were **not exceeding 1MW** the rate would be **100%**, not 50/30/20 — on R18m of plant that is a full R18m deduction and **R4.86m** of tax in year one.

2.2 Foundations, transformers and batteries

Legislation	Application to Axion
• What counts as “used in the generation” (IT39 2.2): the word “in” means storage and conversion assets qualify if they form part of a system that produces electricity. The guide accepts solar PV panels including their concrete foundations and supporting steel structures, DC combiners and feeder lines, and AC inverters. • The limit, stated expressly: “Assets used for the transmission of electricity, for example transformers and transmission lines, or for storage, for example batteries, do not generate electricity and therefore will generally not qualify” — unless integral to a generating system. “If a taxpayer is only drawing power from the grid and storing it, such storage assets will not qualify.” • Foundations are deemed part of the asset only if all three hold: designed for the asset and integrated with it; useful life limited to the asset’s; and brought into use on or after 1 January 2013. • s12B(1)(i) allows improvements (not repairs) to a qualifying asset or its deemed foundation, at the same rate. The underlying asset must itself have qualified. s12BA made no provision for improvements at all. Repairs fall to s11(d).	• This decides the grid connection, and less generously than it first looks. The R60m connection is presumptively outside s12B; the burden is on Axion to show a particular transformer is integral to generating. Page 20 describes electricity being “transmitted and wheeled”, which points away from integration. See 2.5. • The battery point — the sharpest thing in this part. Page 19 says renewable generation does not replace the UPS and battery infrastructure, so Axion holds batteries for two purposes, taxed differently: • Batteries integral to the renewable system, storing its own output → can qualify under s12B. • UPS and backup batteries charged from the grid → squarely inside the guide’s exclusion → s11(e). • Worked example. R40m of storage. Integral to the solar system: $R40m \times 50\% = R20.0m$ · tax R5.40m. Grid-charged UPS on a 5-year s11(e) period, 2 months: $R40m \div 5 \times 2/12 = R1.33m$ · tax R0.36m. A 15-fold difference on the same R40m, decided by what charges the battery. • The rooftop trap — and IT39 Example 3 is almost exactly Axion’s existing array. There a factory roof was strengthened to carry panels; neither the roof nor the strengthening qualified, because the roof was integrated with the building, not the solar system, and outlived the panels. Page 19 confirms Axion has on-site solar generation. Panel mounting frames and their own foundations do qualify; the building does not. • Keep s12U separate, because the words collide: a fence foundation is s12U at 100%; a panel foundation is part of the plant at 50/30/20.

Example — R40m of battery storage

	Integral to the solar system	Grid-charged resilience UPS
Section	s12B at 50/30/20	s11(e) , apportioned
Basis	$R40m \times 50\%$	$R40m \div 5 \text{ years} \times 2/12$
FY2027 deduction	R20.0m	R1.33m
Tax at 27%	R5.40m	R0.36m

- **A 15-fold difference on the same R40m**, decided by what charges the battery. Page 19 confirms Axion holds batteries for **both** purposes, so the split must be asked for.
- **Roof strengthening for the rooftop array: nil**. IT39 Example 3 excludes it — integrated with the building, and it outlives the panels.

2.3 Section 12BA — expired

Legislation	Application to Axion
• 125% of cost, deducted in full in the year brought into use, for a new and unused asset owned by the taxpayer and used in generating electricity from the same sources. • No capacity threshold, and not apportioned.	• Not available. The window closed on 28 February 2025; anything from Document 7 is FY2027 at the earliest. State that it has expired rather than claiming it — a lapsed incentive is a technical error that costs more than an omission. • Then use it commercially — this is the high-value point. Had the

Legislation	Application to Axion
• Available only for assets brought into use on or after 1 March 2023 and before 1 March 2025. Not renewed. s12B and s12BA are mutually exclusive.	same R450m been commissioned before 1 March 2025: 125% × R450m = R562.5m in FY2027 alone, a first-year benefit of R151.9m against R67.5m today. • So the expiry has weakened the case for building rather than buying by roughly R84m of first-year cash tax. That is quantified insight drawn from a provision that does not apply. • The existing on-site solar may have been claimed under s12BA — see Part 5.

Example — what the expiry of s12BA costs

Same R450m of plant	If into use before 1 Mar 2025	Into use FY2027 (the real case)
Section available	s12BA at 125%	s12B at 50/30/20 + s12U
First-year deduction	R562.5m	R250.0m
First-year tax benefit	R151.9m	R67.5m
Difference	R84.4m of first-year cash tax, lost to the expiry	

- Use this rather than simply noting the expiry: **the lapse of s12BA has measurably weakened the case for building rather than buying.** That is quantified insight drawn from a provision that does not apply.

2.4 Section 12U — roads and fences

Legislation	Application to Axion
• s12U(1)(a). Deduction of the amount actually incurred in the year on the construction of any road or erection of any fence used for the person's trade of the generation of electricity exceeding five megawatts from the specified sources. • s12U(2). The foundation designed for such a fence qualifies in its own right if integrated with the fence and limited to its useful life. • s12U(1)(b). Improvements deductible in full in the year incurred. • The trade restriction — the difference from s12B (IT39 2.5): the taxpayer has to be conducting a trade of generation of electricity. • New construction only, not existing roads or fences. The deduction must be taken in the year incurred and cannot be postponed. • s12U(3). Expenditure incurred before the commencement of, and in preparation for, the trade is deducted as soon as trade commences.	• Do not claim s12U just because s12B is available — this is the trap. s12B accepts any trade; s12U requires the taxpayer's trade to be generating electricity. Axion's trade is data centre and interconnection services. • So the answer depends on structure, and cuts the opposite way from s12B: • Axion generates purely for self-supply → hard to say it carries on a trade of generating electricity → s12U probably unavailable, even though s12B is. • The plant sits in an SPV or joint operation whose trade is generation → that entity satisfies s12U comfortably. The structure that costs Axion s12B may be the only one that secures s12U — a genuine tension for the board. • [WAITING FOR INPUT]: capacity in MW, and whether the generating entity sells electricity or only self-supplies. Below 5MW, s12U is unavailable in any event. • If the trade test is met: R25m of new roads and fencing × 100% in FY2027 = R25.0m · tax R6.75m. • s12U(3) is worth real money and is easy to miss. Roads and fencing are built early, often before anything generates. The deduction is not lost — it is claimed in the year the generation trade commences. But note the hard edge: s12U cannot be postponed, so if there is no taxable income that year the benefit is trapped in an assessed loss (2.7).

Example — section 12U on roads and fencing

R25m of new roads and perimeter fencing	Trade test met	Trade test not met
Is Axion's trade the generation of electricity?	Yes — the entity sells or wheels electricity	No — pure self-supply for the data centres
Capacity above 5MW?	Yes — 30MW	Yes — 30MW
FY2027 deduction	R25.0m at 100%	Nil
Tax at 27%	R6.75m	Nil

- **s12U(3)** — if the R25m is incurred in FY2026 but generation only starts in FY2027, the deduction is **not lost**: the full R25.0m is claimed in FY2027, the year the trade commences.
- But it **cannot be postponed** beyond that year, so with no taxable income it is trapped in an assessed loss.

2.5 The grid connection

Legislation — tested in order	Application to Axion
• First — s12B. IT39 2.2: transformers and transmission lines generally do not qualify; only if integral to a generating system. • Second — s12U. Roads, fences and fence foundations only. • Third — s13quin. 5% a year of a new and unused building or improvement, owned and used wholly or mainly (IN 107: more than 50%) in producing income in the course of trade. Land excluded. • Fourth — s11(e). Wear and tear, apportioned, over the IN 47 write-off periods. • The s11(e) exclusion (IT39 9.1). No s11(e) allowance on any asset for which a deduction may be granted under s12B, s12BA or s12U — even if s11(e) would give a larger deduction. • If none apply: capital, no allowance, base cost for CGT.	• Page 19 says each development requires “supporting transmission and distribution infrastructure”, so this cost is real and potentially large. • [WAITING FOR INPUT] — your first request on this option: the cost split between plant, roads and fences, connection infrastructure, buildings and land. • Start from the general rule, not the exception, then show the spread on the assumed R60m: • Integral transformers and switchgear → s12B at 50% → R30.0m · tax R8.10m • A substation building → s13quin at 5% → R3.0m · tax R0.81m • A transmission line → s11(e), apportioned; 20-year period, 2 months → R0.5m · tax R0.135m • R8.10m against R0.135m of first-year tax on the same R60m. That is why the split matters, and why a range with reasons is the right answer until you have it. • Note the one-way door. You cannot elect s11(e) because it suits you — s12B displaces it automatically, even where s11(e) would give more. • Land of R15m attracts no allowance under any section — base cost only. Say so.

Example — the same R60m connection, three ways

R60m grid connection	Integral transformers	Substation building	Transmission line
Section	s12B	s13quin	s11(e)
Rate	50%	5%	20 years, apportioned 2/12
FY2027 deduction	R30.0m	R3.0m	R0.5m
Tax at 27%	R8.10m	R0.81m	R0.135m

- **R8.10m against R0.135m on the same R60m** — a 60-fold spread. Start from IT39’s general rule that **transmission assets do not qualify**, then argue the exception if the facts support it. **Land of R15m: nil under every section.**

2.6 Who claims — ownership and accession

The highest-value point on this option, and IT39 adds a risk most candidates will not see: Axion can pay for the plant and still not own it.

Legislation	Application to Axion
• Four elements in the same taxpayer: owns, brings into use first, for its own trade, and uses it in generating. • Accession can defeat ownership (IT39 2.3). Under superficies solo cedit, anything artificially attached to land becomes the landowner’s property. “If the asset accedes to the land, the person who purchased the asset may not be the owner and, if so, will not be entitled to a deduction.” • The tests are the nature of the article, the degree and manner of annexation, and the intention of the annexor. The taxpayer need not own the land — but must own the asset. • s12N deems a taxpayer holding a right of use	• Start with accession — it destroys the allowance silently. IT39 works three scenarios: • Axion owns the land, plant permanently affixed → Axion is owner → allowance available. • Axion leases the land and affixes the plant permanently, no removal agreement → the landowner becomes the owner. Axion gets nothing (does not own it); the landowner gets nothing (incurred no cost). The R450m allowance simply disappears. • Axion leases the land but mounts the plant so it detaches without damage, with a written removal agreement → Axion keeps ownership and the allowance — though not the concrete foundation, which stays with the land. • So this is a drafting point with a R121.5m consequence. [WAITING FOR INPUT]: does Axion own the project land; if not, what does the lease say about removal, and how is the plant attached?

Legislation	Application to Axion
or occupation to be the owner of improvements on land it does not own. If its requirements fail, no deduction is available (IN 119). • Letting the asset out: under s12B generally no allowance, because the lessee becomes the user. • Partnerships: each partner holds an undivided proportionate share and claims it — but s24H(3) may limit the deduction in the year, with the excess carried forward under s24H(4). • A company owning the plant claims in its own right; shareholders claim nothing.	Advise that the lease record the intention that the plant stays Axion's movable property, and test s12N if it does not. • The structures are compared in the example below. The headline sentence to lead with: the same R250m produces R67.50m, R33.75m or no allowance in Axion's hands, purely on structure. • Do not plan to lease the plant out — under s12B letting it generally forfeits the allowance.

Example — who claims the R250m

FY2027 deductions of R250m	A — Axion owns 100%	B — 50/50 joint operation	C — SPV owns
Who claims	Axion	Axion 50%, partner 50%	The SPV
Axion's deduction	R250.0m	R125.0m — check s24H(3)	Nil — s11(a) only, R88.0m
Taxable income R350m less	R100.0m	R225.0m	R262.0m
Tax at 27%	R27.00m	R60.75m	R70.74m
Cash tax saved vs R94.5m	R67.50m	R33.75m	R23.76m
If the plant accedes to land Axion does not own	Nil — and the landowner claims nothing either	Nil	Unaffected — the SPV's problem

- **The accession row is the one most candidates will miss.** Axion can pay the full R450m, sign every contract, and deduct **nothing** — a **R121.5m** swing that turns on how the plant is attached and what the lease says about removal.

2.7 Using and disposing of the allowance

Legislation	Application to Axion
• s24J. Interest is incurred on a yield-to-maturity basis as it accrues, independently of the accounting treatment. • s20(1)(a). A company sets off a balance of assessed loss brought forward only against the higher of R1 million or 80% of taxable income. The unused balance carries forward; the current-year loss is not restricted. • s8(4)(a) — recoupment. On disposal, amounts previously deducted are included in income: the proceeds, limited to cost, less tax value, taxed as ordinary income at 27%. • s8(4)(nA). For a s12BA asset disposed of before 1 March 2026, 25% of the cost recouped is included in addition, the two capped at 125% of cost. From 1 March 2026 it does not apply. • s11(o). Deduction for a shortfall on disposal, but only on election, where the useful life at acquisition does not exceed 10 years, excluding s12U assets, and not on a disposal to a connected person. • Eighth Schedule. Base cost is reduced by allowances claimed; amounts recouped are excluded from proceeds. Company CGT effective 21.6%.	• Funding. Page 20 says the option “requires upfront capital and an appropriate funding structure”. Debt brings a 27% shield on the interest; equity brings none but no covenant exposure. That trade-off belongs in the recommendation. • Watch the double count: if capitalised interest sits in accounting cost and in the s12B cost base, the same rand is relieved twice. Raise it as a question. • s20 — Axion is comfortable on these facts, but do the arithmetic rather than assuming headroom. Where s20 bites is Structure C, and the example below quantifies it. • The sentence the board needs. The allowances are a deferral, not a saving — the full R450m comes back as ordinary income on disposal. What they deliver is the present value of the deferral, and that, not the nominal R128.25m, belongs in the post-tax NPV. • s11(o) will not help, and say why: no remaining tax value after three years; useful life exceeds 10 years at acquisition; s12U assets excluded; and no election on a disposal to a connected person — which a transfer to an SPV or the technical partner would be.

Example — funding, assessed losses and disposal

	The facts assumed	The tax effect
s24J — interest	R300m of the plant debt-funded at 11%, drawn for 8 months of FY2027	$R300m \times 11\% \times 8/12 = \text{R22.0m}$ deductible · tax R5.94m
s20 — the loss trap in Structure C	SPV carries a R250m assessed loss into FY2028 and earns taxable income of R60m	Set-off capped at $80\% \times R60m = \text{R48.0m}$ → taxable income R12.0m · tax R3.24m , with R202.0m still carried forward. The SPV pays tax despite a R250m loss.
s8(4)(a) — sold below cost	Plant sold in FY2032 for R200m; tax value nil	Recoupment R200.0m into income · tax R54.0m . No capital gain — proceeds are below cost.
s8(4)(a) and CGT — sold above cost	Plant sold for R500m instead	Recoupment capped at cost R450.0m · tax R121.5m ; gain $R50.0m \times 80\% \times 27\% = \text{R10.8m}$. Total R132.3m.
s11(o)	Any of the above	Not available — no remaining tax value, life exceeds 10 years, and no election on a connected-person sale.

2.8 Other taxes — in brief

Tax	The rule	Axion
VAT	Input tax claimable on plant and construction acquired for making taxable supplies. Import VAT recoverable; customs duty is not.	R67.5m on R450m of plant, recoverable in the VAT period of acquisition — a timing benefit in the cash flow, not a cost. Duty on imported plant is a cost and goes into the s12B base. [WAITING FOR INPUT]: is the plant imported?
Dividends tax	20%, but exempt where the beneficial owner is a resident company , subject to the declaration and undertaking.	Only in Structure C. SPV distributes R50m: with the declaration nil ; without it R10m . The exemption is procedural, not automatic.
Carbon tax	Falls on Scope 1 only. [NOT VERIFIED.]	No saving here either — owning the plant still cuts only Scope 2. The diesel generators (page 19) remain.
Deferred tax	Taxable temporary difference where carrying amount exceeds tax base, at 27% .	At 30 June 2027: carrying amount R447m against tax base R225m → DTL R59.94m . The tax base falls to nil in three years while the asset depreciates over 25, so the liability builds fast and unwinds over two decades.

2.9 Pulling the sections together

Each section above carries its own example. This table is the one thing none of them shows on its own — how a single project cost splits across the sections.

Cost element	Amount	Section	FY2027 deduction
Plant and machinery	R450m	s12B at 50% — see 2.1	R225.0m
Roads and perimeter fencing	R25m	s12U at 100%, if the trade test is met — 2.4	R25.0m
Grid connection	R60m	s12B, s13quin or s11(e) — 2.5	R30.0m / R3.0m / R0.5m
Land	R15m	No allowance — base cost only	Nil
Total, excluding the connection	R550m		R250.0m

- **R250.0m of deductions in FY2027** → taxable income R350m falls to R100m → tax **R27.00m** against R94.50m → **cash tax saved R67.50m** in Structure A. Over three years the total benefit is **R128.25m** — but it is a **deferral** (2.7).

Ask for on the day

- **Capacity in MW and technology** — decides 100% against 50/30/20, and whether s12U is available.
- **The cost split**, and **whether the generating entity sells electricity** (the s12U trade test).
- **The ownership structure** with the technical partner, **who owns the land**, and **the lease terms on removal**.
- **The date brought into use**, against 30 June; and the **funding mix** for s24J.
- **The split of storage spend** between generation storage and grid-charged resilience UPS.

Part 3 — Off-site generation and wheeling

Document 7, page 20. “Land and network constraints may limit renewable generation at a data centre site. Electricity may instead be generated elsewhere and supplied through the electricity network under a wheeling arrangement.” The diagram lists **network and wheeling charges, transmission losses, curtailment, and electricity generated but not used**.

In one line. **Wheeling is a delivery mechanism, not an ownership structure.** It creates no allowance and destroys none: the allowance question follows **Part 1 or Part 2 depending on who owns the plant**. What wheeling adds is a layer of deductible operating cost — and, because the plant sits on someone else's land, **the accession risk**.

3.1 The fork — does Axion own the off-site plant?

Legislation	Application to Axion
• s12B requires ownership, first use, the taxpayer's trade, and use in generating. Nothing requires the plant to be at the taxpayer's premises. • But ownership is tested at common law (IT39 2.3): under superficies solo cedit an asset permanently affixed to land becomes the landowner's. The purchaser may then own nothing and deduct nothing — and the landowner deducts nothing either, having incurred no cost. • A written agreement to remove the asset at the end of the lease, plus an attachment allowing removal without damage, points to the purchaser retaining ownership. • s12N deems a holder of a right of use or occupation to be the owner of improvements on land it does not own (IN 119). • Transmission assets do not qualify (IT39 2.2) — transformers and lines transmit, they do not generate.	• Location is not the problem — ownership is. An off-site plant Axion owns attracts s12B on the same terms as an on-site one. • The real risk is that Axion pays and does not own. Page 20 says off-site generation is driven by land and network constraints, so the plant will very likely stand on land Axion does not own. If panels and foundations are permanently affixed there, the landowner becomes the owner and the entire R121.5m of allowances is lost. • Follow the branch: • Axion owns the plant, and ownership is preserved → the whole of Part 2 applies unchanged, plus 3.2 below. • Axion owns it but it accedes to a third party's land → no s12B, unless s12N deems Axion the owner. Test it and say whether it is met. • An independent producer owns it → Part 1 applies: no allowance, only s11(a), plus 3.2. • The practical advice, which is what the task is paying for. If Axion will own off-site plant on leased land, the lease and the mounting method must be built for it: a removal agreement at expiry and an attachment permitting removal without damage. Note that the concrete foundation still stays with the land, so its cost is lost even when the panels are saved. • Two further points: the transmission line to the metering point is not a s12B asset (see 2.5), and s12U needs Axion's own trade to be generation (see 2.4). • [WAITING FOR INPUT]: who owns the plant and the land; the lease terms on removal; the method of attachment; where the metering point sits.

Example — where the off-site plant stands

R450m of plant on an off-site site	Ownership preserved	Plant accedes to the landowner
How it is attached	Detachable without damage, written removal agreement at lease end	Permanently affixed, no removal agreement
Who owns the asset	Axion	The landowner
s12B deduction to Axion	R225.0m in FY2027 (50%)	Nil
s12B deduction to the landowner	Nil — incurred no cost	Nil — incurred no cost
Three-year tax benefit	R121.5m	Nil — the allowance simply disappears
The concrete foundation	Stays with the land — its cost is lost either way	Stays with the land

- **A R121.5m swing decided by drafting, not by economics.** If an independent producer owns the plant instead, **Part 1** applies: no allowance, s11(a) only. Test **s12N** before concluding that the middle column is fatal.

3.2 Wheeling charges, losses and curtailment

Legislation	Application to Axion
• s11(a) with s23(g). Expenditure actually incurred in the production of income, not of a capital nature, laid out for trade purposes. • A loss actually incurred in the production of income is deductible on the same terms as expenditure. • There is no requirement that the expenditure succeed in producing income. The test is the purpose for which it was incurred, not the outcome.	• Network and wheeling charges are a normal operating cost of delivering the electricity. Fully deductible — R12.0m a year · tax R3.24m. • Transmission losses are the sharper point. Axion pays for electricity at the generation point and receives less at the metering point. The cost of the lost units was still incurred in the production of income, so it remains deductible. On 5% of 80 GWh at R1.10 that is R4.4m · tax R1.19m. • Curtailment and “electricity generated but not used” follow the same analysis: if Axion has an unconditional obligation to pay, the cost is incurred and deductible even though nothing usable was received. See Part 4, where this becomes the main question. • Say this plainly, because it is counter-intuitive and it is a mark: electricity Axion pays for and never uses is still deductible — the tax system does not penalise a wasted input. But it is a real cash cost with no offsetting benefit, so it must be priced into the comparison even though it is relieved at 27%. • [WAITING FOR INPUT]: the wheeling tariff, the loss factor at the metering point, and who bears curtailment risk.

Example — the wheeling costs, and what they do to the price

Step (producer owns the plant)	Input (assumed)	FY2027 tax effect
Volume contracted at generation point	80 000 000 kWh	
Transmission losses at 5%	(4 000 000 kWh)	
Volume received at the metering point	76 000 000 kWh	
Electricity cost — 80 GWh at R1.10	R88.0m	s11(a) · R23.76m
Network and wheeling charges	R12.0m	s11(a) · R3.24m
Total deduction	R100.0m	R27.00m
Effective cost per usable kWh	$R100.0m \div 76 \text{ GWh} =$ R1.32/kWh	R0.96/kWh after tax relief

- **The commercial insight, and it comes straight from the four cost items on page 20.** A headline PPA price of **R1.10/kWh becomes R1.32/kWh delivered** once wheeling charges and losses are added — **above the R1.30/kWh grid cost it was meant to beat.** Wheeling is where a renewable saving quietly disappears, and tax relief does not rescue it, because the grid alternative is equally deductible.

3.3 Other taxes — in brief

Tax	The rule	Axion
VAT	Electricity and network services are standard-rated at 15%.	Two supplies, both carrying VAT — the electricity and the wheeling service. Input tax claimable on both ; neutral. The metering point fixes the volume invoiced.
Carbon tax	Scope 1 only. [NOT VERIFIED.]	No saving — wheeled renewable electricity cuts Scope 2.

Part 4 — Long-term offtake agreements

Document 7, page 20. Benefits include revenue certainty for the project and visibility over future electricity costs. Related considerations: “pricing and escalation terms may apply for many years” and “purchase commitments may begin before the new facility is fully utilised”.

In one line. A contracting layer over Parts 1, 2 or 3, not a fourth way of getting electricity. Its tax question is **timing and wasted cost**: when is a multi-year commitment “actually incurred”, and is electricity paid for but never used still deductible?

4.1 When the commitment is incurred, and electricity paid for but not used

Legislation	Application to Axion
• s11(a). Expenditure actually incurred in the production of income, not of a capital nature, with s23(g). • “Actually incurred” means an unconditional legal obligation has arisen in that year. A contingent obligation is not yet incurred. • Signing a contract does not incur the expenditure of every future year. Each year’s obligation is tested in that year. • There is no general provision allowing a deduction for future expenditure under a purchase contract. • The test is purpose, not outcome. Expenditure on an input that is wasted or unused remains deductible where it was incurred for trade purposes.	• The trap, and it is a real one. A 15-year offtake with escalation looks like a large committed liability the moment it is signed. For tax it is not. Axion deducts only the year’s electricity, as each year’s unconditional obligation arises. There is no deduction on signature for later years. A candidate who claims the full committed price is visibly wrong. • Then the accounting contrast, which is the interesting half. A contract that has become onerous may require an IAS 37 provision — an expense now that is not deductible now. That mismatch is a deductible temporary difference and a deferred tax asset, recognised only to the extent future taxable profits are probable. • Electricity paid for but not used remains deductible. Page 20 raises it directly. The commitment was entered into for the purposes of Axion’s trade, to secure power for data centre capacity; s11(a) asks about purpose, not outcome, and s23(g) is not offended. Deductible in full at 27%. • But do not stop at the technical answer — that is what separates a competent response from a borderline one. Deductibility does not make it cheap: Axion still bears 73 cents in every rand of a cost that delivers nothing. • The recommendation that follows. Match the ramp of the offtake commitment to the capacity that is actually contracted, rather than to installed capacity. That is a tax-informed operational recommendation, which is what the task is likely to reward. • [WAITING FOR INPUT]: the contract term, the take-or-pay percentage, the escalation formula, the utilisation ramp, and whether any amount is unconditional on signature.

Example — a take-or-pay commitment that ramps ahead of use

	FY2028	FY2029	FY2030
Contracted volume (take-or-pay)	80 GWh	80 GWh	80 GWh
Volume actually consumed	55 GWh	70 GWh	80 GWh
Paid for but not used	25 GWh	10 GWh	Nil
Deduction under s11(a)	R88.0m	R88.0m	R88.0m
Of which relates to wasted volume	R7.43m	R2.97m	Nil
Net cash cost of the wasted volume	R20.07m	R8.03m	Nil

- **R28.1m of net cash burned over two years** on electricity never consumed — fully deductible, and still R28.1m gone. **Give both halves:** deductibility is the technical answer, the ramp mismatch is the commercial one.
- **No deduction arises on signature**, even if the contract is signed in FY2027 and runs to FY2042. The FY2028 obligation is incurred in FY2028.
- **Other taxes, briefly.** VAT follows each invoice, including on take-or-pay volumes never consumed — neutral. **Carbon tax: no saving**, the supply secured is Scope 2.

Part 5 — The existing on-site solar and section 12L

Both come from Document 7 page 19: "On-site solar generation supplements electricity supply", and electricity as one of Axion's most significant operating costs with an AI-enabled maintenance pilot at Johannesburg 1.

5.1 The existing on-site solar

Legislation	Application to Axion
• s12B — 100% in the year brought into use for PV solar not exceeding 1MW; otherwise 50/30/20. • s12BA — 125%, but only for assets brought into use on or after 1 March 2023 and before 1 March 2025. The two are mutually exclusive. • s8(4)(nA). On disposal of a s12BA asset before 1 March 2026, 25% of the cost recouped is included in addition to s8(4)(a), capped together at 125% of cost. From 1 March 2026 it does not apply. • s8(4)(a) applies where the allowance was claimed under s12B. • s11(d) repairs; improvements fall into s12B(1)(i). s12BA never allowed improvements.	• [WAITING FOR INPUT]: the capacity, cost and date brought into use of the existing array, and which section was claimed — that last fact decides the disposal rule. • The example below works the assumed facts — 800kW, R18m, brought into use 1 October 2024, inside the s12BA window. • The extra 25% (R4.5m) is a permanent difference — deductions exceed cost — so it reduced the FY2025 effective rate and is a reconciling item, not deferred tax. • On disposal the date is the whole answer, and Axion's FY2026 ended 30 June 2026, after 1 March 2026, so the milder rule applies now — a favourable, precise, date-driven point. • The roof. IT39 Example 3 holds that a roof strengthened to carry panels does not qualify: it is integrated with the building, not the solar system, and outlives the panels. So roof work at Johannesburg 1 is outside the s12B cost base; the panels' own frames and foundations are inside it. • Upgrading. Replacing failed panels with equivalent ones is a repair under s11(d). Higher-output panels are an improvement under s12B(1)(i), at 100% for a sub-1MW array.

Example — the existing 800kW rooftop array, R18m

Claiming it, FY2025	Under s12BA (in the window)	Under s12B ($\leq$ 1MW)
Rate	125%	100%
Deduction	R22.5m	R18.0m
Tax at 27%	R6.075m	R4.86m
Difference	R1.215m in Axion's favour	

Disposing of it for R15m (below cost)	Sold before 1 March 2026	Sold on or after 1 March 2026
s8(4)(a) recoupment	R15.0m	R15.0m
s8(4)(nA) add-on — 25% $\times$ R18m	R4.5m	Nil — it falls away
Included in income	R19.5m	R15.0m
Tax at 27%	R5.27m	R4.05m

- **Roof strengthening: nil either way** (IT39 Example 3). The panels' own frames and foundations are in the s12B base; the building is not.

5.2 Section 12L — energy efficiency savings

Legislation	Application to Axion
• Deduction for verified energy efficiency savings, at 95 cents per kWh saved. • Requires a SANAS-accredited M&V body and a certificate issued by SANEDI. No certificate, no deduction. Savings are measured against a baseline established before the intervention. • Sunset extended to 31 December 2030 — the incentive is available. • s23B prohibits double deductions, but IT39 9.4 confirms s12B and s12L may both be claimed, because they attach to different amounts — the	• Why it belongs here. Page 19 says electricity is one of Axion's most significant operating costs and describes an AI-enabled tool piloted at Johannesburg 1 that identifies and prioritises maintenance — an intervention of exactly the kind s12L rewards. It rewards using less, so it sits alongside whichever option is chosen. • The example below shows the arithmetic. Modest beside s12B, but it recurs annually while the savings persist and needs no capital. • And say that it stacks. A weak answer assumes s23B blocks a second incentive on the same project. It does not — that is worth a mark on its own. • The practical caution. There is no retrospective claim. If efficiency

Legislation	Application to Axion
cost of the asset and the energy saved.	work is contemplated, the baseline must be established first.

Example — section 12L on a cooling optimisation

	Input (assumed)	FY2027 effect
Verified saving against the certified baseline	3 000 000 kWh	
Rate	R0.95 per kWh	
Deduction under s12L	R2.85m	R769 500 at 27%
Claimed in addition to s12B on the plant?	Yes — different amounts, so s23B does not block it	Stacks
Without a SANEDI certificate	Nil — no retrospective claim	Nil

Part 6 — The four options compared

If the task asks you to compare rather than analyse one option, this is the answer skeleton. All figures are on the assumed facts at the front.

	Part 1 — PPA	Part 2 — Direct investment	Part 3 — Wheeling	Part 4 — Long offtake
Does Axion own an asset?	No	Yes, if it owns directly	Depends who owns the plant	Not of itself
Capital allowance	None	s12B 50/30/20; s12U 100%	Follows Part 1 or 2	None
Main deduction	s11(a) electricity	s12B, s12U, s24J	s11(a) plus wheeling	s11(a), year by year
FY2027 deduction	R88.0m	R250.0m	R100.0m	R88.0m
Cash tax saved, FY2027	R23.76m	R67.50m	R27.00m	R23.76m
First three years	R71.28m	R128.25m	R81.00m	R71.28m
Shape	Level, for the contract life	Front-loaded, gone after FY2029	Level	Level, includes wasted volume
Permanent?	Yes — a true cost	No — a deferral; s8(4) (a) recoups	Yes	Yes
Capital required	Limited	R550m	Depends on ownership	None
Carbon tax saving	Nil — Scope 2	Nil	Nil	Nil
The risk to flag	IFRS 16 may make it a lease	Structure and accession decide who claims — R67.5m, R33.75m or nil	Wheeling costs and losses erode the saving	Paying for electricity not used

- **The one-sentence conclusion.** Direct investment delivers by far the largest benefit in the first three years — **R128.25m against R71.28m** — but it is a **deferral, not a saving**, it needs **R550m of capital**, and **its entire value depends on Axion itself owning the plant**. A PPA delivers less, later, but permanently, with no capital and no structuring risk.
- **Then reach a decision.** An unconcluded comparison is an incomplete task.

Part 7 — Answer structure and the traps

	Step	What to write
1	Name the option	Which of the four is the task about? If it names one, work only that part.
2	Identify who owns and who claims	Ownership, first use, own trade, production of income — all four in the same taxpayer. Check accession if the land is not Axion's.
3	Work each cost to its section	Plant → s12B. Roads and fences → s12U if the generation trade test is met . Connection → s12B, s13quin or s11(e). Land → nothing. Never lump them together.
4	Apply the rate and compute	50/30/20 or 100%. No apportionment. Give the rand deduction and the tax at 27%.
5	Check the timing	Date brought into use against 30 June. Quantify the effect of slipping past year end.
6	Check utilisation	Is there taxable income to absorb it? If not, s20 caps the carry-forward. Compute it.
7	Deal with disposal	s8(4)(a) capped at allowances claimed; CGT at 21.6% on any excess over cost; s8(4)(nA) if s12BA was claimed.
8	Other taxes, briefly	VAT input and output. Carbon tax falls on Scope 1, so every option here saves little or none. Dividends tax only on the SPV route.
9	State what you need	Use the “ask for on the day” list in the relevant part. Specific requests, not generic ones.
10	Conclude	Recommend. If the numbers are close, say so and decide on judgement — but reach a conclusion.

Eight things that will cost you the task. The last four come from SARS Guide IT39 and are the ones most candidates will miss.

- **Claiming s12BA.** Expired 28 February 2025. Say so, then quantify what was lost.
- **Putting the transmission line into s12U.** s12U is roads and fences only.
- **Assuming Axion gets the allowance.** In an SPV, a partner-owned or a producer-owned structure, Axion gets nothing but s11(a).
- **Apportioning s12B for part of a year.** It is not apportioned. s11(e) is.
- **Claiming s12U because s12B was available.** s12B accepts any trade; **s12U requires the taxpayer's trade to be generating electricity.**
- **Forgetting accession.** Plant permanently affixed to land Axion does not own belongs to the landowner — Axion pays and claims nothing unless s12N applies.
- **Electing s11(e) because it gives more.** It is excluded wherever s12B, s12BA or s12U may be granted, **even if larger.**
- **Apportioning a mixed-source asset.** Renewable plus non-renewable means it does not qualify at all.

Verification status

Item	Status	Source
s12B(1)(h) and (i), s12BA, s12U — criteria, sources, thresholds, rates, cost base, no apportionment, foundations, improvements, prohibitions	Verified against the guide	IT39, 23 Nov 2024
Ownership and accession; the three leasing scenarios; s12N	Verified	IT39 2.3; IN 119
Trade test — wide for s12B, generation only for s12U	Verified	IT39 2.5
Transformers, lines and batteries generally outside s12B; mixed sources disqualify	Verified	IT39 2.2 and 2.1.4
s12U(3) pre-trade; s12U cannot be postponed	Verified	IT39 6.3
s11(e) excluded where s12B, s12BA or s12U may be granted	Verified	IT39 9.1

Item	Status	Source
s11(o) — election, 10-year life, s12U excluded, connected-person bar	Verified	IT39 9.2; IN 60
s8(4)(a) and s8(4)(nA), and the 1 March 2026 pivot	Verified	IT39 9.3
s12B and s12L may both be claimed	Verified	IT39 9.4; IN 95
s13quin — new and unused; “mainly” is more than 50%	Verified	IN 107
27%, 80% CGT inclusion (21.6%), 20%, 15%, s20 80% cap	Verified — unchanged, Feb 2026 Budget	Practitioner commentary
s24H(3) and (4); s23A operating lease; s24J detail	Read the sections	—
Carbon tax threshold and rate; IN 47 write-off periods; IAS 12 and IAS 37 paragraphs	Look up before citing	—

- **Scope.** This document is confined to **Document 7, pages 18 to 20**. Tax consequences arising from the other pre-release documents are deliberately out of scope.
- **Two guides were read and excluded.** The **s6C solar energy tax credit** and the **ring-fencing of assessed losses (s20A)** both apply to **natural persons only** and cannot reach Axion, a company. s6C still appears once in 2.1, because **s12B(4)(h)** denies s12B where s6C was allowed.
- **Every rand figure is assumed.** Document 7 gives no capacity, cost, price or structure. The examples exist so the method is fluent; the figures arrive on the day.

Prepared for APC 2026 September Qualifying Exam preparation. Axion Digital Infrastructure (Pty) Ltd is a fictitious entity created for assessment purposes.